

ADAPTIVE COMPLIANCE • PRACTICAL TOOLKIT

From argument to action

Seven diagnostics and checklists for modern compliance leaders

Compliance leader. Global operator. Original thinker.

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HOW TO USE THIS PACK

A working document, not a maturity certificate

These tools are designed to improve the quality of leadership conversations. They do not replace legal analysis, regulatory interpretation, validation or professional judgment. Use them to expose assumptions, name ownership and identify where evidence is too weak for the decision being made.

A high score is less valuable than an honest disagreement about why the score exists.

1. Choose one tool and one accountable facilitator.
2. Ask each participant to score independently before the discussion.
3. Require evidence for every green or “mature” answer.
4. Record the decision, owner, due date and trigger for reassessment.
5. Repeat after a material change in product, market, model, regulation or threat.

Common five-point scale used throughout the toolkit.

Prompt	Working response / evidence
1 — Unclear	No shared standard, limited evidence or ownership not named.
2 — Emerging	Some practice exists but depends on individuals or manual interpretation.
3 — Defined	Documented standard and owner; application is reasonably consistent.
4 — Monitored	Performance and exceptions are visible; thresholds trigger action.
5 — Adaptive	The control learns from evidence and changes through governed feedback.

TOOL 01

Payment Transparency Readiness Assessment

Test whether payment data can support enforceable transparency and earlier financial-crime decisions.

Use when: Preparing for richer structured messages, ISO 20022, virtual-account complexity or cross-border payment growth.

Prompt	Working response / evidence
Identity integrity	Are originator, beneficiary and relevant intermediaries represented as structured, attributable data rather than free text? Score: ____ Evidence: _____
Purpose	Can the institution explain the commercial or personal purpose of the payment and identify when the narrative conflicts with behavior? Score: ____
Context	Do customer, account, corridor, counterparty and historical signals travel into the decision? Score: ____
Data continuity	What material information is lost, truncated or transformed between initiation, routing and settlement? Score: ____
Virtual accounts	Can the issued identifier be reliably linked to the underlying customer, owner, use case and responsible institution? Score: ____
Control placement	Which risks can be addressed before execution, and which still depend on downstream monitoring? Score: ____
Exception governance	Are missing, malformed and inconsistent fields measured, assigned and remediated? Score: ____
Regulatory traceability	Can the organization evidence how its data and controls meet applicable transparency requirements? Score: ____

Decision

Top three weaknesses: _____ Named owner: _____

Reassessment date: _____

TOOL 02

AI Governance Checklist

Put purpose, authority, evidence and accountability around AI before the system earns trust.

Use when: Approving copilots, decision-support models or agents that can call tools and affect regulated workflows.

- Purpose is specific enough to test, and prohibited uses are explicit.
- Training, retrieval and operational data have documented provenance and permitted use.
- The model or agent has a named business owner and independent challenge appropriate to impact.
- Authority is graduated: recommend, prepare, execute with approval, or execute autonomously.
- Human review is meaningful, not a ceremonial click after the action is effectively complete.
- Outputs, tool calls, prompts, versions and overrides produce reproducible evidence.
- Testing covers accuracy, bias, hallucination, prompt injection, data leakage and adversarial manipulation.
- Monitoring distinguishes model drift, workflow failure and changes in the population being assessed.
- Incident response includes containment, rollback, notification and learning.
- Third-party concentration, exit and model-change risk are understood.

Prompt	Working response / evidence
Highest-consequence action	_____
Human approval point	_____
Evidence retained	_____
Stop / rollback trigger	_____
Accountable executive	_____

TOOL 03

Model Drift Dashboard

Make model health visible as a set of decisions, not a collection of interesting charts.

Use when: Governing transaction monitoring, fraud, screening, customer-risk or prioritization models.

Prompt	Working response / evidence
Data drift	Missingness, schema changes, field distributions, latency. Signal: _____ Threshold: _____ Action: _____ Owner: _____
Population drift	Customer, product, geography, corridor and channel mix. Signal: _____ Threshold: _____ Action: _____
Concept drift	Relationship between behavior and risk outcome. Evidence: typologies, cases, investigations, external intelligence.
Performance drift	Precision, recall proxies, coverage, stability, outcome quality and segment performance.
Operational drift	Backlog, aging, override rates, investigator behavior, quality findings and control workarounds.
Adversarial drift	Patterns suggesting probing, mimicry, coordinated evasion or synthetic evidence.

Every metric should answer: what decision changes when this signal crosses its threshold?

TOOL 04

Compliance Transformation Scorecard

Separate technology implementation from actual transformation.

Use when: Selecting a platform, planning a migration, assessing a troubled program or preparing for scale.

Prompt	Working response / evidence
Data readiness	Quality, lineage, access, ownership and suitability for intended decisions. Score: ____
Process redesign	Legacy steps removed; handoffs, exceptions and controls designed end to end. Score: ____
Model governance	Inventory, validation, monitoring, change control and evidence. Score: ____
Adoption	Role-based training, workflow fit, behavior measures and feedback. Score: ____
Operating ownership	Named permanent owner, decision rights and service model. Score: ____
Coexistence	Old/new reconciliation, historical evidence, cutover and rollback controls. Score: ____
Outcome measures	Risk coverage, customer friction, time to adapt and decision quality. Score: ____

Lowest-scoring dimension: _____ Decision required: _____

Owner: _____

TOOL 05

Global Operating Model Diagnostic

Place standards, capabilities and judgment where they create the strongest combination of consistency and speed.

Use when: Designing global hubs, follow-the-sun coverage or correcting excessive centralization.

Prompt	Working response / evidence
Standards	What must be globally consistent? Who owns the policy, data definitions and minimum outcome?
Local judgment	Which decisions require language, market, customer or regulatory proximity?
Shared capabilities	Which specialist skills should be global centers of excellence rather than duplicated everywhere?
Decision rights	Where can regions decide, where must they consult and what must escalate?
Handoffs	What evidence must travel with work across time zones, and who owns it during transition?
Concentration	Which people, locations, vendors or datasets create single points of failure?
Calibration	How are differences detected, debated and converted into shared learning?
Leadership depth	Can each hub lead and challenge, or is it only an execution location?

Centralize the standard. Distribute informed judgment. Connect the system through evidence.

TOOL 06

Board Questions for AI Agents

Help directors challenge agentic systems at the level of consequence and accountability.

Use when: Board approval, risk committee oversight or a material expansion of agent authority.

6. What can the agent do—not merely recommend—and what is the highest-consequence action available to it?
7. Which decisions are reversible, and how quickly can the organization stop or roll back the system?
8. What evidence allows an independent reviewer to reproduce the agent's reasoning, tool calls and actions?
9. Where does human approval occur, and is the reviewer given enough time and information to disagree?
10. How is the agent tested against manipulation, unexpected tool behavior, compromised data and adversarial users?
11. What changes would require reapproval: model, data source, tool, purpose, authority or market?
12. How will the board distinguish productivity gains from risk merely moved elsewhere?
13. Who is personally accountable when the agent follows its instructions and still causes harm?
14. What third parties or foundation models could create concentration, continuity or exit risk?
15. What incident would cause management to notify the board immediately?

Board action / challenge:

TOOL 07

30/60/90-Day Transformation Plan

Create momentum without confusing speed with ungoverned activity.

Use when: Starting or resetting a compliance transformation.

Days 1–30 • Establish the truth

- Name the accountable executive, business owner and decision forum.
- Baseline risk coverage, data quality, process performance, customer friction and operating pain.
- Map material dependencies, legacy systems, manual work and current exceptions.
- Choose one outcome that can be improved and evidenced within 90 days.

Days 31–60 • Prove the change

- Redesign the target process before automating it.
- Test data, model and workflow assumptions with real users and representative cases.
- Define coexistence, rollback, quality and incident controls.
- Train the people who will own the capability—not only the implementation team.

Days 61–90 • Govern the scale

- Compare outcome evidence to the baseline and challenge unintended consequences.
- Move ownership into the permanent operating model.
- Approve the next scale decision with explicit thresholds and stop conditions.
- Publish the learning: what changed, what did not and what the next review must test.

Prompt	Working response / evidence
90-day outcome	_____
Executive owner	_____
Evidence of improvement	_____
Scale / stop decision date	_____

CLOSE

The tool is the conversation it makes possible

Adaptive compliance is not a product or a finish line. It is the capability to see change, interpret evidence, make accountable decisions and improve the control environment while risk is still moving.

Better compliance begins when the organization can change its mind for the right reason—and show its work.

More writing, tools and the eight-volume series: www.michealsheehy.com

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